

|                                      |                                                 |
|--------------------------------------|-------------------------------------------------|
| Exit barriers in the industry        | High                                            |
| Basis of competition in the industry | Competition based on customer service and price |

### 13. Return on equity and DuPont analysis

| TCI Express     | 2017   | 2018   | 2019   |
|-----------------|--------|--------|--------|
| PAT Margin      | 4.93%  | 6.55%  | 7.13%  |
| Asset Turnover  | 4.41x  | 3.56x  | 3.89x  |
| Leverage        | 1.05   | 1.19   | 1.02   |
| ROE             | 22.83% | 27.75% | 28.29% |
| ROA             | 36.4%  | 36.7%  | 45.2%  |
| Dividend Payout | 16%    | 16%    | 16%    |
| SGR             | 19.17% | 23.31% | 23.76% |

| Blue Dart       | 2015   | 2016   | 2017   | 2018   | 2019   |
|-----------------|--------|--------|--------|--------|--------|
| PAT Margin      | 5.67%  | 7.68%  | 5.21%  | 5.18%  | 2.84%  |
| Asset Turnover  | 6.21x  | 5.14x  | 4.81x  | 4.89x  | 4.46x  |
| Leverage        | 1.18   | 1.30   | 1.30   | 1.07   | 1.23   |
| ROE             | 41.54% | 51.31% | 32.57% | 27.1%  | 15.57% |
| ROA             | 35.24% | 39.5%  | 25.04% | 25.34% | 12.60% |
| Dividend Payout | 294%   | 36%    | 25%    | 21%    | 33%    |
| SGR             | -      | 32.84% | 24.42% | 21.4%  | 10.27% |

(The company undertook a massive network expansion plan in the last few years to cover all pin codes across India. That affects profitability in the medium term, as volume takes time to build over these routes)